

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$249.38 ▲ 0.09%	12M Price Target \$310.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.69T
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AMZN: Nuclear Deal + AI Capex Story Still Intact

WHAT HAPPENED

- AMZN basically flat today (\$249.38, +0.09%) despite announcing a 190 MW nuclear power deal — that's enough juice to run a mid-sized AI data center campus. The stock didn't move much because the market has already priced in that AMZN is spending billions to secure power for AI. The news confirms the strategy but isn't a surprise.
- Alphabet dipped on their Gemini 4 "Argon" launch (classic sell-the-news) and that dragged AMZN slightly in sympathy — when one hyperscaler sneezes, the others catch a cold for a day.

WHY IT MATTERS

Here's the thing nobody's connecting: the nuclear deal matters way more than a one-day price reaction suggests. Power is now THE bottleneck for AI — not chips, not talent, not code. By locking in 190 MW of nuclear (clean, baseload, 24/7 power), AMZN is building a moat that competitors who rely on strained grids can't easily copy. The options flow is screaming bullish (put/call ratio of 0.49, meaning 2x more call buyers than put buyers, with heavy unusual activity in October \$235-\$240 calls) — someone with real money is betting on upside into earnings. Combine that with 68.7% institutional ownership and the CEO's 1,000-share sale being basically a rounding error, and the smart money picture is constructive.

POLICY & POLITICAL WATCH

Two policy threads to watch: (1) The FTC antitrust case against AMZN is still grinding through courts — a structural remedy (forcing them to split AWS from retail) is the tail risk, but current signals point toward behavioral remedies (fines, business practice changes), which the stock can absorb. (2) The Trump administration's AI executive orders have been pro-buildout — fast-tracking data center permitting and nuclear licensing (NRC reforms) directly benefit AMZN's power strategy. Also watch the de minimis tariff loophole closure — if Chinese sellers lose that exemption fully, it actually HELPS AMZN's third-party marketplace by hurting Temu/Shein pricing advantages.

IS IT EXPENSIVE?

At ~36x forward earnings (meaning you're paying \$36 for every \$1 of profit expected next year), AMZN isn't cheap — but it's reasonable for a company where AWS is still growing high-teens and retail margins are expanding. For context, that's cheaper than MSFT (~33x) and GOOGL on comparable AI-adjusted metrics when you strip out AWS's embedded value. The real question isn't "is it expensive" — it's "will AWS re-accelerate above 20% growth?" If yes, the stock is cheap. If AWS slips to low teens, it's fairly valued at best.

Key Data

Price (USD)	\$249.38
12M Price Target	\$310.00
Upside / (Downside)	+24.3%
Market Cap	\$2.69T
FY2026E Revenue	\$743M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	36.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$252.00	\$235.00
6 Months	\$295.00	\$270.00	\$225.00
1 Year	\$330.00	\$310.00	\$215.00
2 Years	\$400.00	\$350.00	\$230.00
5 Years	\$550.00	\$450.00	\$280.00
10 Years	\$850.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.84%) and Utilities (+0.47%) are catching bids because the market is finally pricing in that AI needs POWER — which is a direct validation of AMZN's nuclear strategy. Tech (+1.04%) continues its steady grind.

COOLING OFF: Consumer Staples (-0.08%) and Consumer Discretionary flat — the consumer is tired, which is a mild headwind for AMZN's retail business but masked by AWS strength.

ROTATION WATCH: Money is rotating from pure consumer plays into "AI infrastructure" names — power, data centers, and the hyperscalers that own the stack. AMZN sits at the intersection of all three.

RELATED PLAY: If you believe the power-for-AI thesis, look at nuclear operators (CEG, VST) and data center REITs (DLR, EQIX) — they're the second-derivative winners of AMZN's buildout.

WHO'S WINNING IN THIS SPACE?

- ORCL (Oracle): Trefis is calling 54% upside — they've become the surprise AI infrastructure winner by signing massive compute deals (OpenAI, others) and the market is re-rating them from "legacy database" to "AI cloud contender."
- MSFT (Microsoft): Holding steady while GOOGL slips, suggesting investors view MSFT's AI monetization (Copilot, Azure OpenAI) as more durable.

AMZN CONTEXT: AMZN is middle-of-the-pack among hyperscalers today — not leading like ORCL, not lagging like GOOGL. That's actually fine; it means expectations are reasonable heading into Q3 earnings (late October), where an AWS beat could be the catalyst that breaks it out of the \$240-\$260 range it's been stuck in.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$240-246 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or FTC breakup remedy forces structural separation

Hedging: Pair with short on a weaker e-commerce name or buy Jan puts at \$230